UNIT – II TRADE MARKS

- Trademarks: Purpose and function of trademarks – Categories of Marks
- Acquisition of Trademark rights - Protectable Manner
- Selecting and evaluating trademark
- Trademark registration Process
- Trademark infringement
- Remedies for infringement of trademarks
- New developments in trademark law
- International trademark law

Purpose and Function of Trademarks:

Trademarks perform two critical functions in the market place

1. Provide assurance that goods are of certain quality and consistency
2. They assist consumers in making decisions about the purchase of goods

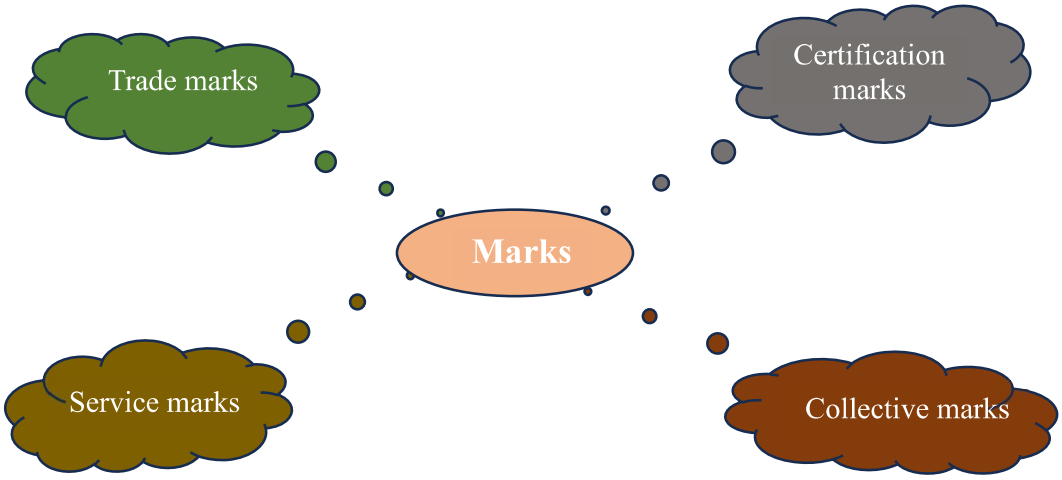
If a trademark such as NIKE® could be counterfeited and used by another on inferior merchandise, there would be no incentive for the owners of NIKE mark to produce high quality shoes to expend money establishing consumer recognition of the products.

Business Benefits	Consumer benefits
Reap the reward of their investment in developing and marketing a product	They are able to identify and purchase desired goods
Develop the business without fearing another business will deceive by using same name or a confusing similar mark for like goods	Consumer loyalty to a particular product/service through the maintenance of consistent quality of products – Good will.
The good will associated the mark with its owner and continue to desire to do business	Consumers may obtain the products they like with the quality promoting the business.

Trademarks provide the following functions:

1. To identify one makers goods/services and distinguish them from those offered by others.
2. They indicate that all goods /services offered under the mark came from a single producer, manufacturer or “source”.
3. They indicate that all goods/services offered under the mark are of consistent quality.
4. They serve as an advertising device so that consumers link a product/service being offered with a mark.

Categories of Trademarks:



Trademarks:

- Trademark is a word, name, symbol or device or a combination thereof used by a person (including business entity or that a person has a bonafide intention to use in commerce.
- It is used to identify and distinguish his/her goods from those manufactured or sold by others and to indicate the source of those goods.

Service marks:

- Service mark is a word, name, symbol, or device or a combination thereof used by a person, or that a person has a bonafide intention to use in commerce.
- It is used to identify and distinguish the services of one person from those of others and to indicate the source of those services
- Trade mark refers to some physical and tangible goods and service mark refers to an intangible service

Certification Marks:

- Certification mark is a word, name, symbol or device or a combination thereof used by a person other than its owner to indicate one of the three things.
  1. Goods/services have certain features in regard to quality, accuracy, material, mode of manufacture or some other characteristic.
  2. To certify regional or other origin.
  3. The work done on the goods/services was performed by the members of a union or other organization.
     Eg: DARJEELING® a mark certifying that certain tea originates in the Darjeeling region of India.
- Certification marks do not indicate a single commercial source of the goods or services and they are not used by the actual owner of the goods or services.

Collective marks:

- ❖ Collective mark is one used by a collective membership organization such as labour union, fraternity or professional society to identify that the person displaying mark is a member of the organization.
  Eg: PHI DELTA THETA® indicate the membership of certain organization
- ❖ On some occasions, companies use house marks to establish recognition in a wide range of products or services
  Eg: GENERAL MILLS® has a registered one mark for numerous food products, including cerel, biscuit mixes and mashed potatoes.

Acquisition of Trademark Rights:

In most foreign countries, trademark rights arise from registering the mark with a governmental entity.

However, in a global scope, obtaining a trademark right through use or through registration are two major legislative models of system for the grant of trademark rights.

- By use
- By registration

“Use model” is based on the objective facts of trademark use and decides the ownership of a trademark according to that the trademark was first used.

While the “registration model” grants trademark rights according to registration and the first applicant will obtain trademark right.

In history, the earliest trademark legislations all took use principle for instance, the first statue of trademark law of manufacturing signs and trademarks concerning the content of use and non-examination principle enacted by France.

However, since there are many defects of the “USE” principle abandoned this principle which was already implemented for more than hundred years in 1964 and shifted to adopt the registration model which was succeeded by the current code of intellectual property

Article 712-1 of the code provides: “trademark rights shall be obtained through registration”.

In INDIA one can acquire and claim a trademark only by registration and not by use.

Protectable Manner:

The registration of trademark confers on the registered properties of the trademark the exclusive right to use the trademark in relation to the goods or services in respect of which the trademark is registered.

Selecting and Evaluating Trademark

Selecting a mark:

The selection of mark occurs in a variety of ways companies hold contests and encourages employees to create a mark for a new product line/service

Branding firms that will conduct surveys and create a mark and logo/design for the company.

Once the mark is selected, it must be sacred and evaluated for use and registrability, if failed then it leads to wastage in expenditure of time and money in advertising, using and applying for a mark that is rejected for registration by the PTO or in the worst scenario, might subject the owner to damages for trademark infringement and unfair competition.

Once the mark is selected, it should be carefully scrutinized to ensure that it will not be excluded protection under the Lanham act.

- Firstly, they have to check whether the mark contains scandalous (giving offense to moral sensibilities and injurious to reputation).
- Whether consent from a living person will be required

After registration of the trademark for goods and services, there shall not be registered the same or confusingly similar trademark not only for the same goods or services but also in respect of similar goods, or services but also in respect of similar goods/services by virtue of section 11(1) of trademarks act 1999.

Moreover, after registration of the trademark for goods/services there shall not be registered the same or confusingly similar trademark even in respect of dissimilar goods or services by virtue of section 11(2) in case of well-known trademarks.

Registered trademark shall not be used by anyone else in business papers and in advertising. Use in comparative advertising should not take under advantage of trademark

Ther is a right to restrain use of the trademark as tradename/part of tradename/name of business concern dealing in the same goods/services.

Evaluating a trademark:

Trademarks are not only used to provide legal protection to a company's name, design, word, etc. Evaluating the exact value of the trademark is challenging.

Two decades ago, no one used used to evaluate the value of their intangible assets of the company. However now, brands create the reputation of a product; motivates the purchasing power and makes the product different from other generic products.

The first step in evaluating the trademark is to examine the historical prospects of trademark like.

- Total cost invested in it.

- Profit margin associated with the products and
- Time it was first used etc…

After considering these options, one must follow the methodologies and different approaches as listed below.

Income Approach:

Most crucial element in which a trademarks value is determined is the income generating power of the business.

The more the earning power, the higher the value of the brand would be.

Through future estimates of economic benefit, cashflows and risks involved, and converting this analysis into simple information; the income approach enables you to evaluate your company trademark.

Market Approach:

In this method, the price of similar marks is considered and compared. It uses market-based indicators of value and takes similar marks into account; it analyses royalty rates and transaction prices to determine what the market is paying for similar intangible assets. In this approach, markets trends are considered and other transactions are analysed.

Cost-approach:
Cost approach considers the implicit as well as explicit cost incurred in creating the trademark. Cost approach also covers the cost accrued (Spent in marketing) in promoting the company and its brand promotion. A particular focus on forecasts of market transactions is employed and estimated time and cost that would be required to make a similar trademark are considered.

Other factors:

Along with the ones listed above, there are other factors which a company should consider while evaluating a trademark or trademarks to maximize their values.

- Qualitative and quantitative characteristics of a trademark
- If there is any contract assigned/associated with a trademark
- Sustainability of the trademark in the market in future
- Market position a trademark holds in the current business
- The capital structure of the company and its modifications according to the needs.

Trademark carries a significant value in the business, and a company should evaluate its brand and know the exact value of their intangible assets. A company should work towards the goal of enhancing the value of trademark and other intangible assets for long-term profits.

Trademark Registration Process:

Investing your time and money to build a particular brand and seeing the same brand name being used by another, robbing you of your hard-earned brand reputation is not an agreeable state of affairs.

Many a time, trademark (TM) owners end up in protracted litigation because when the time was right, they did not do trademark registration in India of their brand name.

- Trademark registration process of the brand name is not a difficult task.
- A few simple steps, as explained below and you would have the much-needed legal protection of your brand name registration in India.

A trademark application can be made by:

- Private firms
- Individuals
- Companies- Limited Liability Partnership, OPC, Private limited, Public, Partnership, etc.
- NGO's

Any person, pretending to be the proprietor of a trademark used or intended to be applied by him, may apply in writing in a prescribed manner for registration. The application must include the trademark, the goods or services, name and address of the candidate with power of attorney, the time of use of the mark. The application must be in English or Hindi. It must be registered at the appropriate office.

Step 1: Trademark Search

- Many entrepreneurs do not comprehend the importance of a TM search.
- Having a unique brand name in mind is not good enough reason to avoid a TM search.
- TM search helps you to know if there are similar trademarks available and it gives you a fair picture of where your trademark stands, sometimes, it also gives you a forewarning of the possibility of trademark litigation.
- Why waste your money in time-consuming trademark litigation later when you can choose to avoid it in the first place?

Step 2: Filing Trademark Application

- Based on the nature of product a class is chosen among 45 classes of trademark.
- Once the chosen brand name or logo is not listed in the Trademark Registry India, then we can opt for registering the same.
- The first step is to file a trademark application at the Trademark Registry India through online / offline.
- Once the application is filed, an official receipt is immediately issued for future reference with TM application number.

Step 3: Examination

- The examination might take around 12-18 months.
- The examiner might accept the trademark absolutely, conditionally or object.
- If accepted unconditionally, the trademark gets published in the Trademark Journal.

- If not accepted unconditionally, the conditions to be fulfilled or the objections would be mentioned in the examination report and a month's time would be given to fulfil the conditions or response to the objections.
- Once such response is accepted, the trademark is published in the Trademark Journal.
- If the response is not accepted, one can request a hearing. If in the hearing, the examiner feels that the trademark should be allowed registration, it proceeds for publication in the Trademark Journal.

Step 4: Publication

- The step of publication is incorporated in the trademark registration process so that anyone who objects to the registering of the trademark has the opportunity to oppose the same.
- If, after 3-4 months from publication there is no opposition, the trademark proceeds for registration.
- In case there is opposition; there is a fair hearing and decision are given by the Registrar.

Step 5: Registration Certificate

- Once the application proceeds for trademark registration, following publication in Trademark Journal, a registration certificate under the seal of the Trademark Office is issued.

Step 6: Renewal

- The trademark can be renewed perpetually after every 10 years. Hence, your logo or brand name registration can be protected perpetually.

International Registration:

The system of international registration of marks is governed by two treaties:

The Madrid Agreement, concluded in 1891 and revised at Brussels (1900), Washington (1911), The Hague (1925), London (1934), Nice (1957), and Stockholm (1967), and amended in 1979, and the Protocol relating to that Agreement, which was concluded in 1989, with the aim of rendering the Madrid system more flexible and more compatible with the domestic legislation of certain countries which had not been able to accede to the Agreement.

The Madrid Agreement and Protocol are open to any State which is party to the Paris Convention for the Protection of Industrial Property. The two treaties are parallel and independent and States may adhere to either of them or to both.

In addition, an intergovernmental organization which maintains its own Office for the registration of marks may become party to the Protocol.

Instruments of ratification or accession must be deposited with the Director General of WIPO.

States and organizations which are party to the Madrid system are collectively referred to as Contracting Parties.

The system makes it possible to protect a mark in a large number of countries by obtaining an international registration which has effect in each of the Contracting Parties that has been designated.

Trademark Infringement

The Trademarks Act, 1999 (hereinafter referred to as the Act) is the legislation that protects trademarks in India. The Act lays down the rules dealing with registration, protection and penalties against infringement regarding trademarks. Trademarks are given the status of intellectual property across the globe. There are many organizations, both international and national, that endeavour to protect intellectual properties such as trademarks. In India, the organization that deals with the protection of trademarks is the Indian Patent Office administered by the Controller General of Patents, Designs and Trademarks. In simple words, trademark infringement is the unauthorized usage of a mark that is identical or deceptively similar to a registered trademark. The term deceptively similar here means that when an average consumer looks at the mark, it is likely to confuse him/her of the origin of the goods or services.

Types of Trademark Infringement

When looking into trademark infringement, one must know that are two types of infringement:

1. Direct infringement

Direct infringement is defined by Section 29 of the Act. There a few elements that have to be met for a direct breach to occur; they are as follows:

Use by an unauthorized person: This means that violation of a trademark only happens when the mark is used by a person who is not authorized by the holder of the registered trademark. If the mark is used with the authorization of the holder of the registered trademark, it does not constitute infringement.

Identical or deceptively similar: The trademark used by the unauthorized person needs to either be identical to that of the registered trademark or deceptively similar to it. The term ‘deceptively similar’ here only means that the common consumer ‘may’ be confused between the marks and may think of them being the same. The operational word here being ‘may’, it only needs to be proven that this is a possibility and does not require proof of actually happening. As long as there is a chance of misrecognition of the marks, it is enough for proving infringement.

Registered trademark: The Act only extends protection to trademarks that have been registered with the trademark registry of India. In the case of breach of an unregistered mark, the common law of passing off is used to settle disputes. It is a tort law that is used where injury or damage is caused to the goodwill associated with the activities of another person or group of persons.

Class of goods or services: For the infringement of the trademark, the unauthorised use of the

mark has to be used for the propagation of goods or services that fall under the same class of the registered trademark.

2. Indirect infringement

Unlike direct infringement, there is no provision in the Act that deals with indirect infringement specifically. This does not mean that there is no liability for indirect infringement. The principle and application of indirect infringement arise from the universal law principle. It holds accountable not only the principal infringer but also anyone that abets, induces that direct offender to infringe. There are two types of indirect infringement:

Vicarious liability: According to Section 114 of the Act, if a company commits an offence under this Act, then the whole company will be liable. Therefore, not only the principal infringer but, every person responsible for the company will be liable for indirect infringement, except for a person who acted in good faith and without knowledge of the infringement.

The elements for vicarious liability are: - When the person can control the activities of the principal infringer – When the person knows of the infringement and contributes to it – When the person may derive financial gains from the infringement The only exception to vicarious liability of a company for infringement is when the company has acted in good faith and had no idea about the infringement.

Contributory infringement: There are only three basic elements to contributory infringement: - When the person knows of the infringement – When the person materially contributes to the direct infringement – When the person induces the principal infringer to commit infringement. In the case of contributory infringement, there is no exception as there exists no chance of the contributory infringer to act in good faith.

Remedies for infringement of trademarks

In India, the infringement of a trademark is a cognisable offence which means that the infringer may also face criminal charges along with civil charges. It is also not required by the Indian law for the trademark to be registered for the institution of civil or criminal proceedings. As mentioned before this is due to the common law principle of passing off.

In the case of trademark infringement, the court may award the following remedies:

- Temporary injunction
- Permanent injunction
- Damages
- Account of profits (damages in the amount of the profits gained from the
- infringement)
- Destruction of goods using the infringing mark
- Cost of legal proceedings

In the case of a criminal proceeding, the court dictates the following punishment:

- Imprisonment for a period not less than six months that may extend to three years

- A fine that is not less than Rs 50,000 that may extend to Rs 2 lakh.

New developments in trademark law

New issues have arisen in trademark law that were entirely unanticipated just a decade ago.

The emergence of internet as a tool of electronic communication and commerce has resulted in complex intellectual property issues;

Important among them are

- ❖ The assignment of internet domain names and attendant disputes over such domains
- ❖ Companies that have invested significant amount of time and money in their marks have been surprised when they have attempted to use their marks as a part of their domain names.
- ❖ The issue of domain name assignment and dispute resolution is one that has caused great controversy and produced significant reforms, although acts of cybersquatting continue to increase.
- ❖ Courts have protected the rights of trademark owners against "cyber squatters" those whose registered domain names in bad faith. Eg: The purpose of selling them to their rightful owners rather than for some bonafide use or purpose.
- ❖ If a dispute arises between parties claiming rights to domain names, the aggrieved owner has a variety of avenues on which to pursue relief.
- ❖ Anti cybersquatting consumer protection Act: Money damages can be obtained from the court.
- ❖ Uniform domain name dispute resolution policy: A streamlined, inexpensive administrative procedure, a panel can cancel an abusive domain name or order it transferred to its rightful owner.
- ❖ Use of marks on the internet has also led to various first amendment issues, especially with regard to the practice of using another party's mark on one's website as a link to another site.
- ❖ Using another's trademark in a phishing scheme, designed to obtain personal information from web users is actionable.
- ❖ Finally, use of another's mark on a non-commercial website for the purposes of satire, parody or consumer commentary is likely permissible as long as there is no likelihood of confusion.

International trademark law

A foreign national may file an application for trademark registration with the USPTO on the basis of actual use of mark in commerce in US, a bonafide intent to use the mark in commerce in US or on the basis of a pending application/existing application in a foreign country.

If the application is filed with the USPTO within six months of its filing in the foreign country, it will retain its earlier foreign country, it will retain its earlier foreign filing date for purposes of determining priority rights in the mark.

Under the Madrid protocol foreign nationals may also file a request for extension of protection of their home issued application or registration to the US.

Justa s foreign nationals may seek protection for their marks in the US, US trade mark owners may seek protection for their marks in various foreign countries.

New system called ‘The community trademark system’ allows trademark owners in the US to file one single page trademark application and receive a single registration covering all 27 member nations of the European union, resulting in significant savings of time and money.

Similarly, Madrid protocol allows a trademark owner to seek registration in any of the more than 80 Madrid protocol member nations by filing a single application with a single set of fees in English.